Practice workbook · Scarcity, choice and opportunity cost

Unlimited wants against finite resources, wants versus needs, the need to choose, the next best alternative forgone by consumers, firms and government, and who these economic agents are.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-02

1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

Figure 1 shows the market for solar panels.

(g) Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

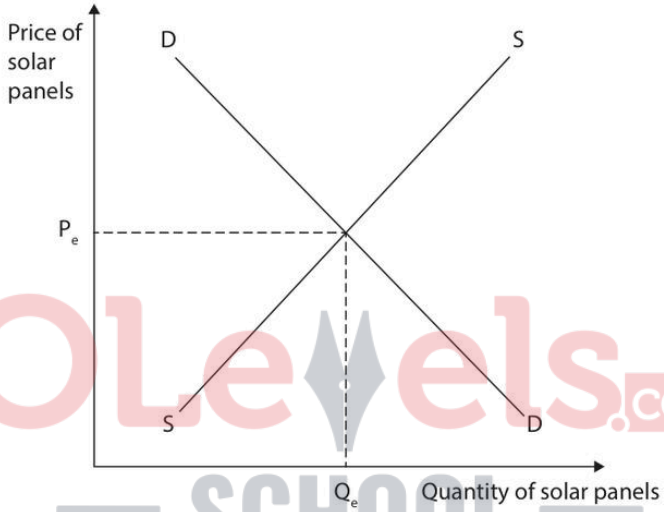


Figure 1

Casper has decided to purchase a new television.

(h) Explain **one** possible opportunity cost for Casper of this decision.

(3)

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1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

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Anastasia runs a martial arts club in District 16 of Budapest, Hungary. She offers classes to children and to adults. There are six classes a week. Following a successful few years, Anastasia is considering growing the business by opening a second club in another district of Budapest.

(i) With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club.

(6)

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1. Question 1 · part h · 3 marks · Working and answer

Working and answer

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

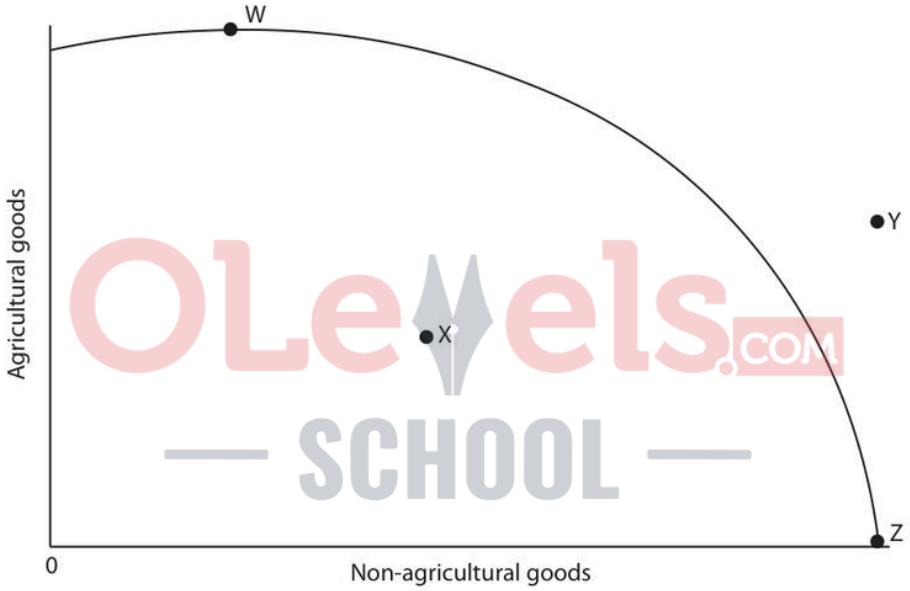


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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4. Question 1 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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4. Question 1 · part e · 1 mark · Working and answer

Working and answer

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(2)

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the effects on the equilibrium price and quantity after the government removes an indirect tax on sustainable fuel. Label the new curve, the new equilibrium price and quantity.

(3)

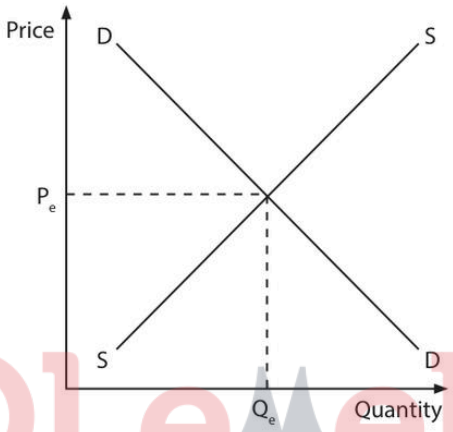


Figure 1

A firm has decided to purchase a new computer system.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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5. Question 1 · part h · 3 marks

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Further practice · Attempt part h only.

In the UAE, 87% of Dubai's shopping malls are owned by just five firms. The retail sector is predicted to reach $71bn in sales by 2021 and employ 25% of Dubai's workforce. Each shopping mall offers something different to customers, for example an indoor ski slope or an indoor aquarium. Dubai's retailers benefit from its tourism sector, as the city ranks as one of the busiest shopping destinations in the world.

(Source adapted from: https://wwd.com/business-news/technology/savant-data-systems-dubai-retail-report-10956883/)

(i) With reference to the data above and your knowledge of economics, analyse why the shopping malls in Dubai are considered to be an oligopoly.

(6)

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5. Question 1 · part h · 3 marks · Working and answer

Working and answer

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6. Question 2 · part e · 1 mark

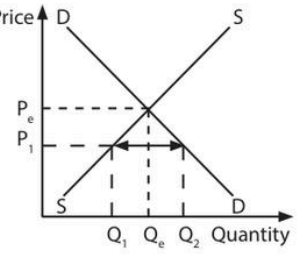
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

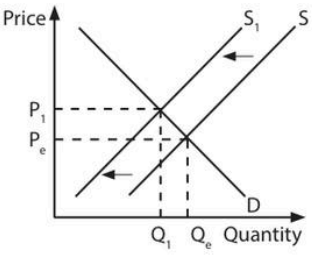
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

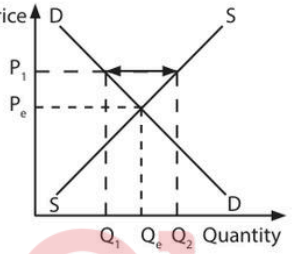
☒ **A**



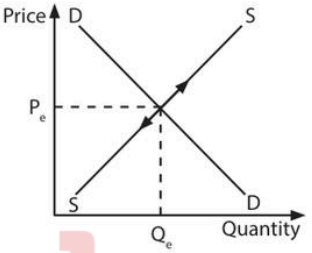
☒ **B**



☒ **C**



☒ **D**



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6. Question 2 · part e · 1 mark

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Further practice · Attempt part e only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

6. Question 2 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

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6. Question 2 · part e · 1 mark · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects of an increase in income on the equilibrium price and quantity for wireless headphones. Label the new curve, the new equilibrium price and quantity.

(3)

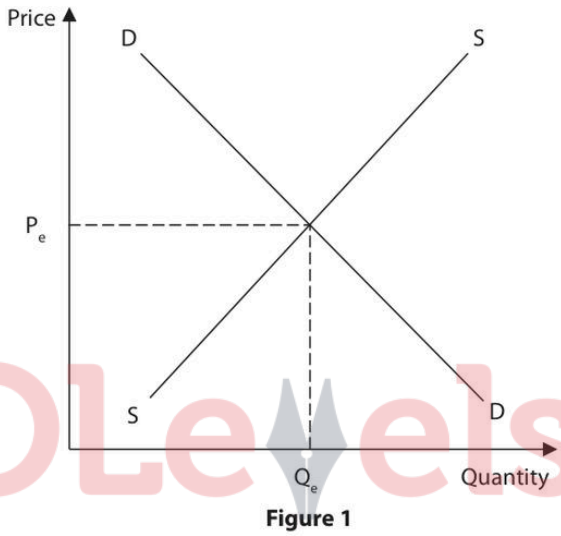


Figure 1

The government of a country has decided to build a new hospital.

(h) Explain **one** possible opportunity cost for the government of this decision.

(3)

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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McAfee is a US-based global computer software security company. In 2017, its revenue was over $2.5bn. The company operates a 'fundraising match programme'. This means when one of its 7,600 employees participates in a fundraising activity, such as a walk, run or cycle event, the company will contribute an equal amount. For every $1 raised for charity by an employee, the company will also contribute $1 to the charity, up to a maximum of $1 000 per person.

(Source adapted from: https://doublethedonation.com/tips/companies-that-donate-to-nonprofits/#match)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons why McAfee chooses not to profit maximise but instead operates the fundraising match programme.

(6)

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7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 1 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

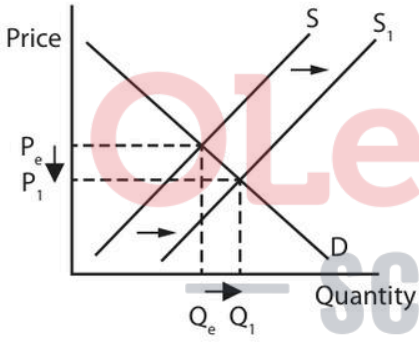
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

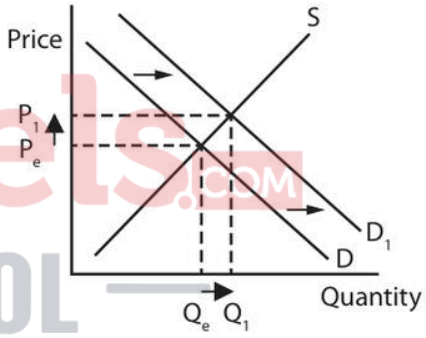
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

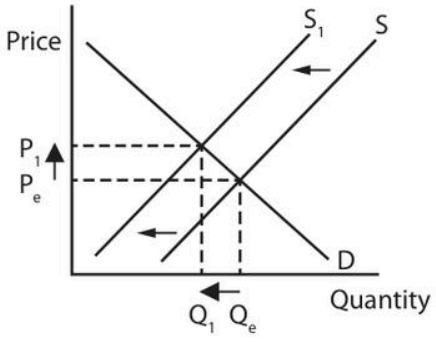
☒ **A**



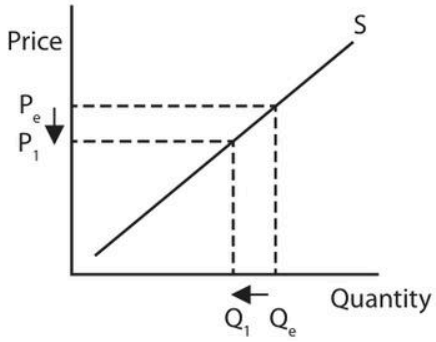
☒ **B**



☒ **C**



☒ **D**



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8. Question 1 · part a · 1 mark · Working and answer

Working and answer

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9. Question 1 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

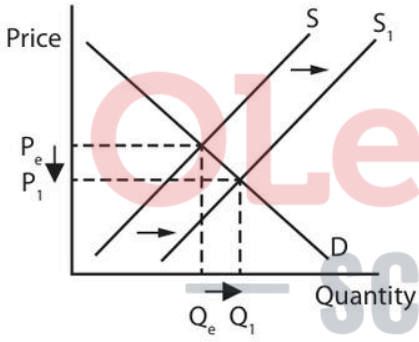
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

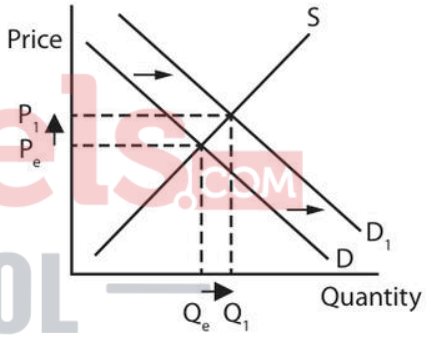
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

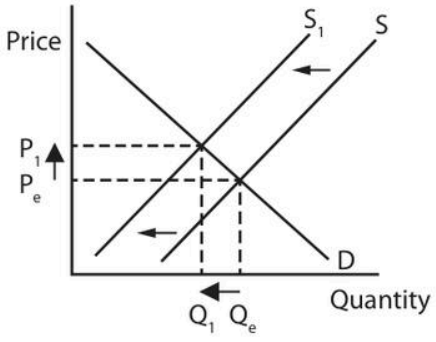
☒ **A**



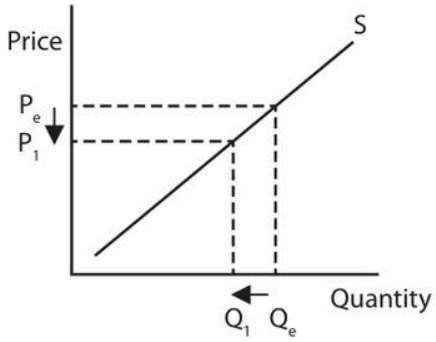
☒ **B**



☒ **C**



☒ **D**



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9. Question 1 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

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9. Question 1 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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9. Question 1 · part e · 1 mark · Working and answer

Working and answer

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10. Question 1 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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10. Question 1 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit.
It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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10. Question 1 · part e · 1 mark · Working and answer

Working and answer

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11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

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11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 3 shows the demand for cocoa beans during 2019.

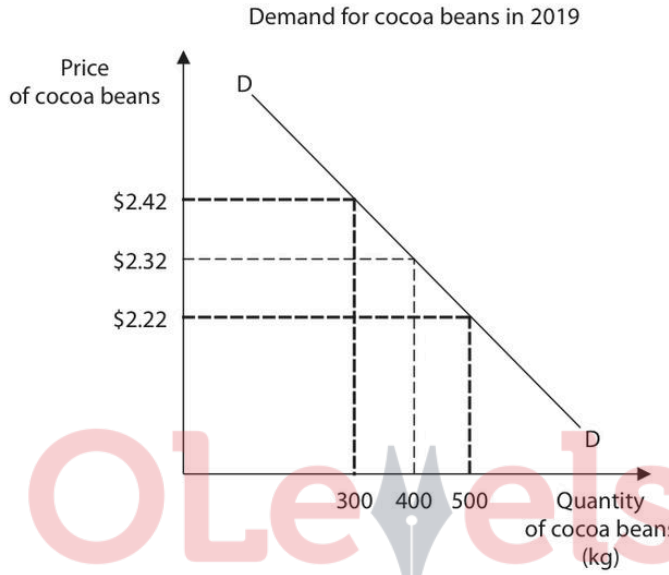


Figure 3

(g) Explain **one** effect on the demand curve for cocoa beans following a change in the price.

(3)

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11. Question 2 · part f · 2 marks · Working and answer

Working and answer

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12. Question 3 · part a · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)



Figure 3

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12. Question 3 · part a · 1 mark · Working and answer

Working and answer

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13. Question 2 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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13. Question 2 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

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13. Question 2 · part c · 2 marks · Working and answer

Working and answer

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14. Question 1 · part e · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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P 7 2 9 6 8 R A 0 2 2 4

14. Question 1 · part e · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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14. Question 1 · part e · 1 mark · Working and answer

Working and answer

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15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

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- ☒ **D** Increased taxation

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15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(2)

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15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the market for tennis balls.

(g) Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

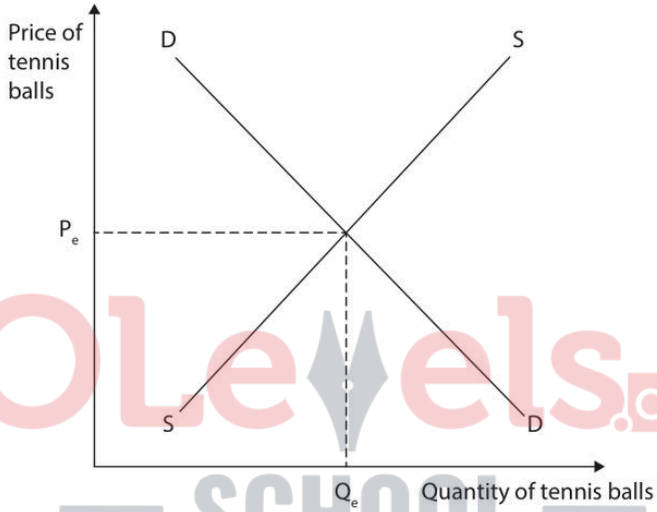


Figure 1

A firm has decided to purchase a new delivery vehicle.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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P 7 2 9 6 8 R A 0 4 2 4

15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Jags owns a café in a small town in Malaysia. During a recent school holiday, she offered a free lunch to each child visiting the café with a paying adult. This was welcomed by customers who have had problems in the last few months due to the rising cost of living.

(i) With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit.

(6)

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15. Question 1 · part h · 3 marks · Working and answer

Working and answer

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16. Question 1 · part e · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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16. Question 1 · part e · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part e only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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16. Question 1 · part e · 1 mark · Working and answer

Working and answer

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17. Question 1 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a definition of opportunity cost?

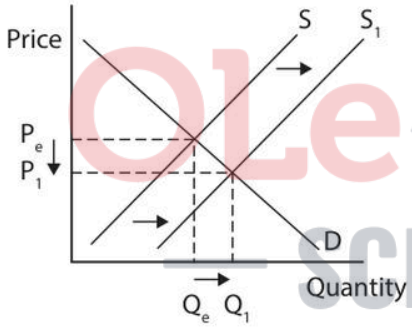
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

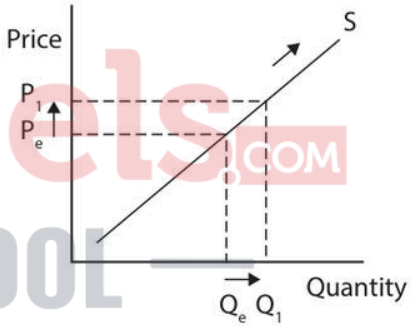
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

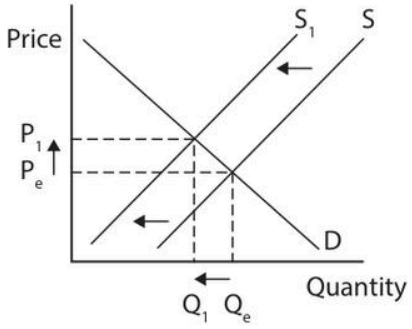
☒ **A**



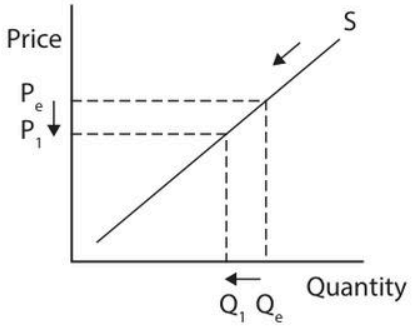
☒ **B**



☒ **C**



☒ **D**



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17. Question 1 · part a · 1 mark · Working and answer

Working and answer

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18. Question 1 · part e · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part e only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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P 7 2 1 3 2 A 0 2 2 4

18. Question 1 · part e · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part e only.

(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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18. Question 1 · part e · 1 mark · Working and answer

Working and answer

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